Reg. No									

St. Joseph's College of Arts& Science (Autonomous)

St. Joseph's College Road, Cuddalore–607001

B.Com DEGREE EXAMINATION APRIL 2021

CM203T - FINANCIAL ACCOUNTING - II

Time: 3 hrs **Max Marks: 75**

SECTION - A (10x2=20)

Answer ALL the questions

1. What is the purpose of average due date?
2. Write a note on "Account Current"
3. Briefly explain the debtors system of maintaining a Branch a/c.
4. What are the objects of sending goods at invoice price to branches?
5. Write any two differences between departments and branches.
6. How do you allocate the following expenses in departmental accounts?
   (i) Salaries (b) Lighting (c) Discount allowed (d) Rent and Taxes
7. A and B are partners sharing profits in 3:2 ratio. C is admitted for 1/5 share in future profits. Calculate the new ratio.
8. What is meant by Gaining ratio?
9. Write a note on Dissolution of a firm.
10. What is meant by realisation account?

SECTION –B (5x5=25)

Answer any FIVE Questions

11. Pandey sold goods to Raman as detailed below:

Date of Invioice	5.5.2016	12.5.2016	19.5.2016	26.5.2016	01.06.2016	03.06.2016
Value of goods sold(Rs.)	15,000	7,500	17,500	11,250	10,000	5,000

The payment were agreed to be made by bills payable 90 days from the respective dates of the invoices. However, Raman wanted to arrange for payment of all the bills to be made on a single date. Calculate the average due date.

12. The following information related to Madurai branch

		Rs.		Rs.
Stock on1.1.2016		1,12,000	Sales at branch: Cash	2,50,000
Branch debtors on 1.1.2016		63,000	: Credit	3,90,000
Goods sent to branch		5,10,000	Stock on 31.12.2016	1,36,000
Cash sent to branch for:			Cash received from debtors	4,12,000
Rent	15,000			
Salaries	30,000			
Petty cash	5,000	50,000		

Prepare Branch account for the year 2016

13. From the following details, prepare departmental trading accounts.

	Department A (Rs)	Department B (Rs)
Opening stock	90,000	84,000
Total purchases	2,70,000	2,16,000
Total sales	4,20,000	3,60,000
Closing stock	1,08,000	48,000
Credit purchases	1,70,000	1,06,000
Credit sales	50,000	60,000

14. A and B are partners sharing profits in the ratio of 3:2. They admit C into partnership. C pays a premium of Rs.1,00,000 for 1/4th share of profit. No goodwill account appears in the books. They withdraw the amount of goodwill. Journalise.

15. Distinction between sacrificing ratio and gaining ratio.

16. X, Y and Z who are equal partners decided to disolve their firm. The following is their Balance sheet after the sale of the assets:

Liabilities	Rs	Assets	Rs.
X's capital	1,80,000	Bank	1,50,000
Y's Capital	1,20,000	Z's capital overdrawn	60,000
		Realisation	90,000
	3,00,000		3,00,000

Z become insolvent and could not pay anything to the firm. Prepare the necessary ledger accounts to close the books of the firm. There was no agreement among the partners.

17. From the following, distribute cash under proportionate capital method:
Capital of partners: A Rs.2,00,000; B Rs.1,00,000
Profit sharing ratio: 3:2
Instalment (Cash): I Rs.50,000; II Rs.20,000 and 111 Rs.10,000

SECTION – C (3X10= 30)

Answer any THREE Questions

18. Krishna had the following transaction with Gopal.

		Rs.
1990 Jan.1	Opening balance due from Gopal	500
Feb.4	Sold goods to Gopal	1,000
March 15	Purchased goods from Gopal	300
April 20	Received acceptance from Gopal for the bill dated April 15th payable one month after date	400
May 15	Paid cash to Gopal	300

Make up an account current to be rendered by Krishna to Gopal on 30th June 2016, calculating interest at 10% p.a

19. A head office at Bhopal invoices goods to its branch at Indoor at cost, and the branch sells the goods not only for cash on credit also. The expenses of the branch are paid by the head office. From the following particulars relating to the branch opened on 1.1.2016, prepare the necessary accounts under stock and debtors sytems in the head office books.

	Rs.		Rs.
Good sent to branch at cost	50,000	Credit sales	52,000
Goods returned by the branch at cost	3,000	Discount allowed to customers	1,800
Expenses paid by the head office	10,000	Cash sales	2,500
Remittance from branch	42,000	Branch stock (31-12-2016)	17,000
		Branch debtors (31.12.2016)	7,700

20. Ram of Neyveli purhcased goods for his three departments as follows:

Dept. X – 200 units; Dept. Y – 1,400 units and Dept. X – 400 units

At total cost Rs.5,100

Sales of the three departments were as follows:

Dept. X – 180 units @ Rs.15 per unit ; Dept. Y – 1,500 units @ Rs.18 per unit; and

Dept. Z – 450 units at Rs.6 per unit.

Other information about stock in the beginning was as follows:

Dept. X – 100 units; Dept.Y - 400 units and Dept. X – 60 units

21. A and B are partners sharing profits in the ratio of 3:2. Their Balance sheet is as under:

Liabilities	Rs.	Assets	Rs.
Capitals: A	3,00,000	Plant & Machinery	3,00,000
B	2,25,000	Stock	2,40,000
Reserves	2,25,000	Debtors	2,25,000
Sundry Creditors	1,12,500	Bank	97,500
	8,62,500		8,62,500

B retires and the following revaluations were made:

(i) The goodwill of the firm is valued at Rs.3,75,000

(ii) Depreciate : Plant & Machinery by 7 ½ % and Stock by 15%.

(iii) A bad debts provision is raised against debtors at 5% and a discount reserve against creditors at 2%. Prepare profit and loss adjustment a/c, partner's capital accounts and new balance sheet as on 1st Jan.2017.

Give journal entries and prepare Balance sheet of the new firm.

22. A, B and C sharing profits and losses in the ratio of 2:2:1.. On the date of disolution, the Balance sheet showed as follows:

Liabilities	Rs.	Assets	Rs.
Creditors	60,000	Cash in hand	20,000
Capital; A	1,80,000	Other assets	3,80,000
B	1,20,000		
C	40,000		
	4,00,000		40,000

The assets were realised gradually: Rs.1,00,000 was received in first instalments , Rs.1,00,000 the second time and Rs.1,30,000 finally. Show how the cash was distributed.

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